

includes? How many surfboards? How many Gummy Bears and how much of that sugar powder that looks and tastes like Ajax? And I wonder if that \$5,000 is net of earnings from lemonade stands, Christmas card sales, and car washes—if kids are into those things these days.

But \$5,000 is an average. In 1986, *Newsweek*, for example, studied the average cost of raising one child to the age of 18 in constant 1986 dollars for a two-parent, two-child household with the child attending public school in a suburban area. The total was \$95,000, or about \$5,000 a year, as follows:

Food	\$1,200
Transportation	1,100
Shelter	500
Household goods	500
Recreation	500
Clothing	400
Health Care	300
Personal care	300
Fuel and utilities	200
Total	\$5,000

These costs assume that one or both parents work and that the family has a typical suburban infrastructure. For example, the amounts shown for shelter and transportation assume that the family lives in a standard house and drives one or two family cars. In the figures above, a portion of those costs is allocated to the children. But we've seen that when you retire you reduce your infrastructure. Instead of bloated costs for housing, transportation, clothing, and the like, you spend money on *you*.

The same principle holds for your kids. Before you retire, the family lives in a ranch house where each child has a room of his own. *You* never had a room of your own when you